



THE LION
FOUNDATION

**Young
Enterprise
Scheme**

Exemplar

AS91384 (3.6)

Version 2

**Carry out, with consultation, an
innovative and sustainable business
activity**

Level 3 | Credits 9

This YES exemplar includes evidence at an Excellence level of a business plan and of consultation with specialist advisors.

This exemplar has been created to use as a teaching tool to help teachers and students understand what is required for Excellence and to show one way in which evidence can be prepared and presented.

Students should use the exemplar as a guide only and should not plagiarise whole sentences and paragraphs from this exemplar in their own work.

To see an annual review exemplar, please look at the Annual Review module in the YES Course.



Business Plan

Ruff Tucker Lean Canvas

PROBLEM <i>List your customer's top 1-3 problems.</i> Premium dog treats are expensive. Dog treat options in the supermarket are limited and are not nutritional or healthy.	TARGET MARKET <i>Identify who is most likely to buy your product/service.</i> Young adults Dog owners "Pet parents" Care about their dogs' nutritional needs Looking to buy premium pet products	SOLUTION <i>Outline a possible solution for each problem.</i> Make affordable dog treats by using meat sourced for free. Make jerky dog treats that are nutritional and healthy as they are made from 100% beef.	EXISTING ALTERNATIVES <i>List your main competitors.</i> Vitapet Beef Spare Ribs Pet.co.nz beef jerky Animates beef jerky treats UNIQUE VALUE PROPOSITION <i>Give a single, clear, compelling message that states why you are different and worth paying attention to.</i> Delicious and natural 100% beef jerky dog treats that offer a sustainable solution to the beef farming industry by using meat from bulls that would otherwise go to waste.	SALES CHANNELS <i>List the different ways your customer will be able to buy your product/service.</i> Local farmers' markets Pet Shops Vets Online store UNFAIR ADVANTAGE <i>Identify something you have that cannot easily be bought or copied.</i> We are from beef farming families so can source our meat for free. We can use the school's commercial kitchen to manufacture and package our jerky.
COST STRUCTURE <i>List your fixed and variable costs.</i> Meat processing fee Labels Packaging Marketing expenses			REVENUE STREAMS <i>List your sources of revenue.</i> Sale of dog treats	

Business idea and goals

Business Idea

Ruff Tucker is committed to producing an 100% sustainable product and in doing so, promote sustainability within the farming industry and in the dog treat market.

Ruff Tucker hand makes nutritious beef jerky treats for dogs. Our dog treats are 100% natural as they are made without additives and preservatives and instead are made with one ingredient only, beef.



Our dog treats offer a sustainable solution to the farming industry and to the dog treat market. The beef used for our dog treats is a byproduct of the farming industry as it is from bulls who are injured or unwell and are therefore unfit for human consumption.

Ruff Tucker discovered that their meat can still be used for animal food and so decided to develop a sustainable approach to farming by using this unwanted by-product and turning it into a dog treat. Our business model focuses on reducing waste to create a premium dog treat for dog lovers in NZ.

Our beef can also be traceable to a specific farm of origin and a specific animal at that farm which will provide our customers with assurance that their trusty canine is eating only the best.

We have all grown up on farms and are dog owners ourselves too. Like many dog owners we want our dogs to eat only the best. We hope that dogs will enjoy Ruff Tucker treats so much, that they will learn quicker and behave better in order to get more of our healthy, tasty and sustainable dog treats.

Vision, mission and values and SMART business objectives



Our vision:

More sustainable dog treats.

Our mission:

To reduce waste and increase sustainability in beef farming by producing a healthy beef jerky dog treat made from meat that would otherwise go to waste.

Our values:

- Kaitiakitanga – protect and nurture the land and its natural resources for future generations
- Keep it local - locally sourced and locally made
- Keep it natural – 100% meat dog treats

Sustainability Outcomes including SMART business objectives

Economic outcomes

We aim to be financially viable by:



- Using cost-based pricing and selling our 150g bags of beef jerky for \$10, giving us a gross profit margin of 74.8%.
- Selling 400 bags of jerky by 30 Sept 2025.
- Making a net profit of \$2711.30 by 30 Sept 2025.
- Minimising costs in the production process by sourcing our meat for free from local Hawkes Bay farms.

Environmental outcomes

We aim to be environmentally sustainable by:



- Reducing waste in beef farming by producing beef jerky from meat that would otherwise go to waste.
- Reducing our carbon footprint by sourcing and making our jerky locally in Hawkes Bay.
- Sourcing from farms that value sustainability and are implementing sustainable farming practices.
- Using natural ingredients only for our dog treats. Our dog treats will be 100% beef.
- Using bio-degradable paper bags for packaging and by allowing customers to bring their own bag or container.

Social outcomes

We aim to be socially responsible by:



- Help the local community by donating 10% of net profit to Hastings SPCA to help rehome abandoned dogs and puppies.
- Encourage people to spend more time with their dogs which can improve their health and mental well-being.
- Support the local farming community by sourcing meat from local farms using the slogan "proudly sourced and made in Hawkes Bay".

Cultural outcomes

We aim to be culturally inclusive by:



- Upholding our company value of kaitiakitanga and protecting natural resources for future generations.
- Helping to preserve and normalise te reo Māori by using both Māori and English kupu (words) on our market stall signs.
- Celebrating Te Wiki o te Reo Māori through a range of activities and content.

SWOT Analysis

Strengths - current strengths of the product and business:

- **Market trends** indicate that our product will be successful and that we should sell 400 bags by 30 Sept 2025:
 - The dog treat market in NZ is a growing market
 - 28% of NZ households own one or more dogs
 - Our product matches the current market trends of premiumisation and humanisation as our beef jerky is a premium, natural, hand-made dog treat made with one ingredient only - beef.
- **Sustainable source of supply:** our unique value proposition is that our dog treats offer a sustainable solution to the beef farming industry and to the dog treat market by using meat from bulls that is unfit for human consumption. Our business is reducing waste and increasing sustainability which will attract eco-conscious consumers to buy our dog treats.
- **Affordable selling price due to free source of supply and free manufacturing:**
 - Through family connections we have a network of local Hawkes Bay beef farmers who can supply our meat at no cost.
 - We are able to use Iona College's food technology kitchen to dry and package our jerky.

Having a free supply of meat and manufacturing facilities enables us to offer our product to the market using a competitive pricing strategy of \$10 per 150g bag, a price below our established competitors which will attract price-conscious consumers.

- **"We walk the talk":** we are all dog owners, are passionate about dogs and are inspired to give our own dogs only the best treat out there which is what we are aiming to sell to our customers.
- **Business partnerships:** we have a strong business partnership with a local vet from Vet Services, Hastings who is able to certify that the bull is fit for dog consumption and is able to advise us on MPI regulations and standards. This ensures the quality of our meat and of our production process.

Weaknesses - current weaknesses of the product and business:

- **Long production time frame** - the beef jerky is hand-made by our company directors. Due to the drying out and cooling requirements in production, it takes 2 days to make beef jerky from one animal. Production days need to be thoroughly planned in advance.
- **Low brand recognition** - potential customers are unaware of our company and our product and may choose to buy more established brands instead.

Opportunities - that can benefit our product in the future:

- **Product diversification** – we can diversify and make dog treats from other animals, for example, lamb jerky or venison jerky. We could also sell related goods, for example a dog treat pouch to carry dog treats in when you are walking your dog.
- **A & P Show** – we could have a site at the A & P Show in Hastings in October 2025, an event that attracts 30,000 visitors each year. This will allow us to connect with more customers as well as network with potential suppliers and distributors.
- **National Distribution Deal** – we could negotiate with a national pet store for example Animates or a national rural supply store like Farmlands to have our product stocked in their NZ stores.

Threats - that may prevent our product from being successful:

- **Irregular supply of meat** – as we are relying on local farmers to supply us with animals our source of supply is irregular. There may times when we have no available animals and cannot supply enough product to meet demand.
- **MPI regulations** – there are several different regulations and industry standards that we must be aware of and comply with when processing the meat. Non-compliance would result in negative publicity and fines for the business.
- **Established competitors** – our target market may prefer to purchase their dog treats from existing suppliers that they are familiar with like Vitapet and Animates rather than trusting the new player in the market.
- **Intellectual property issues** – other businesses may copy our sustainable product idea or they may copy our business name, reducing our potential sales and profit.

Marketing

Primary market research – taking our MVP to market



We launched our dog treats by taking our MVP to market on 5 April 2025 at the Hawkes Bay Farmers Market, Hastings. We took 15 bags of dog treats with us and had an 100% success rate, selling out within 3 hours.

We interviewed all 15 customers to test out our Lean Canvas and to find out their opinions on the product, the price and the packaging and to find out their preferred channels of promotion and distribution.

This was a good learning curve for our business because we made our first sales and were able to interact with actual consumers. We received feedback from 14 out of 15 customers that the price was too cheap and that they were prepared to pay more for a premium product like ours. This led us to the decision to change the price from \$5 a bag to \$10 a bag and at the same time increase the content of each bag from 100g to 150g.

All 15 customers were very supportive of the idea of 100% natural dog treats and agreed that dog treat options in the supermarkets were limited and not natural and healthy. They agreed that this was a problem for them when they were wanting the best for their pet.

All 15 customers were even more supportive when they heard our story about how we source quality meat sustainably. As a result of this support, we have decided to put a summary of our sustainability story as part of the label that we have on the back of the packet. This will promote our unique selling proposition.

For 9 out of 15 customers, eco-packaging was a serious consideration for them when purchasing everyday items. As a result, we will continue to use our bio-degradable packaging.

14 out of 15 customers were regular users of Instagram, 5 out of 15 were regular users of Facebook and 6 out of 15 used TikTok. As a result, we will focus our Social Media campaign on Instagram.

Initially we had thought that our target market was farmers who would buy the dog treats to help train their farm dogs. This led us to price our product at \$5 a bag to make it affordable to farmers who are usually cautious about their spending. Talking to customers we realised our target market was actually pet owners, with a medium to high income, seeking a premium healthy treat for their dog. These dog owners would happily spend \$10 on a bag of healthy, nutritional dog treats.

Secondary Market Research

Market Analysis

Market size

New Zealand is a nation of animal lovers with 64% of Kiwi households owning a pet, second only to the United States at 65%. Just over 28% of NZ households own a dog and there are currently 683,000 pet dogs in New Zealand which equates to 1.4 dogs per household.

People with companion animals place great importance on their health and wellbeing, with total expenditure on products and services for companion animals estimated at \$1.8 billion in 2016, up from \$1.6 billion in 2011, with food being the biggest expenditure category.

In 2015 the average household spent \$1,686 on their dogs, a 7% increase on the 2011 figure of \$1,571.

Dog treats currently make up 18.6% of the dog food market and this figure is growing each year. Global market research company Euromonitor, found in a recent survey that pet treats are in the top five pet products growth categories in every region in the world.

Market Trends

Pet food is a growing and profitable market, particularly in the super-premium sector.

Humanisation and **Premiumisation** are key consumer trends in the pet food market.

Humanisation occurs when pet owners treat their companion animal as part of the family and pay extra attention to their nutritional, behavioural and emotional needs. In 2016, 77% of NZ dog owners consider their dog to be part of the family.

This "pet parenting" phenomenon is growing in popularity with a high number of millennials delaying buying a house and having children due to the expense involved and instead choosing to buy a dog or cat and treating it like their 1st child. This phenomenon is often fuelled by social media where their dogs may even have their own Instagram accounts.

Premiumisation refers to pet owners seeking premium pet food options that have a higher price positioning and are branded as premium or high quality.

Trends in pet food are strongly mirroring trends in human food with pet owners paying more attention to their dogs' nutritional needs and demanding better quality. Dog owners are increasingly moving away from economy and mainstream categories into more premium products with key health benefits.

As a result of humanisation and premiumisation, the natural pet food and treat market is experiencing incredible growth of around 12 – 15% a year.

Sources of information:

Companion Animals in New Zealand Report 2016, compiled by The New Zealand Companion Animal Council (NZCAC)

http://www.nzcac.org.nz/images/downloads/Companion%20Animals_in_New_Zealand_2016_Report_web.pdf

NZ Herald – “What’s a Pet Worth?” www.nzherald.co.nz/business/news/article.cfm?c_id=3&objectid=11932105

The New Zealand Pet Food Manufacturers Association - <http://www.petfoodnz.co.nz/market.htm>

Competitor Analysis

The main competitors that also sell 100% natural beef jerky dog treats in New Zealand are:



Vitapet Gourmet Picks Beef Spare Ribs

100% Beef Spare Ribs. Free from artificial ingredients, colourings and chemicals. Made in New Zealand.

\$10.90 for 90g / \$21.30 for 200g

Well established brand with global recognition.

Available to mainstream and premium customers in NZ at The Warehouse, Countdown and through several online pet stores.



Pet.co.nz Beef Jerky, 15cm

Fine strips of pure beef which have been dehydrated. Comes in lengths of 15cm. Made specifically for dogs who love a treat.

\$24.99 for a pack of 15 strips

Available online only at www.pet.co.nz





Animates Beef Jerky loose dog treats, 25cm

Individual strips of pure beef. 25cm in length.
lengths of 15cm. Made specifically for dogs who love a treat.

\$2.63 for 1 individual strip

Established and trusted brand.

Have over 60 Animates stores across NZ and an online store

Sell jerky strips individually rather than in a pack.

Ruff Tucker will have a competitive edge over these more established brands.

- **SUSTAINABILITY:**

Ruff Tucker will beat each of these competitors on price as we offer our 150g bag of beef jerky for \$10.

- **KEEPING IT LOCAL:**

Ruff Tucker will appeal to the local Hawkes Bay market as it is locally sourced and produced in the Hawkes Bay and the jerky can be traced back to an individual animal on a particular farm.

- **PRICE:**

Ruff Tucker will beat each of these brands on sustainability. Ruff Tucker is the only beef jerky dog treat made from injured bulls that would otherwise go to waste.

Target Market

Our target market is young dog owners, aged 22 – 35. These dog owners are usually professional couples living in Hastings or Napier. They are medium to high income earners.

These dog owners are 'pet parents' who treat their dog like a child and pay extra attention to their dog's needs. Their dogs are a large part of their lives, and they want what is best for their pet. They include their dog in their weekend activities, for example walking and running with their dog and taking their dog to cafes and they even have an Instagram account for their 'fur baby'.

They are health conscious so want to buy healthy food for their dogs too. They are eco-conscious so look to buy environmentally friendly products and packaging.

Buying Motivation

They will buy Ruff Tucker dog treats for their dogs because our dog treats are sustainable, locally made and sold in eco-friendly packaging.

Ruff Tucker Customer Persona (Ideal Customer)



Meet Matt (25) and Lucy (24)

Have been together as a couple for 3 years and have recently adopted their fur baby Raven.

Demographics:

Occupation: Matt is a chef at a local winery and Lucy runs her own website design company.

Location: Napier

Income: combined household income = \$130k before tax

Children: would like 2 children when they are in their early 30's

Home ownership: Rent a sleep out at Matt's parents in Napier as Napier property prices are too high for them to buy their own home.

Passions, interests & values:

Spending time together with each other (and Raven)

Walking and running (with Raven)

Going to waterfront café's (with Raven) for coffee/brunch

Health conscious

Eco-conscious

Pain points:

Difficult to find locally sourced healthy natural dog treats for Raven

Shopping habits:

Seek out premium products that also offer value for money

Like to support local businesses

Shop at local Farmers markets & craft markets

Shop online

Look for eco-friendly products

Prefer products with minimal packaging

Digital personality:

Digital natives

Both own a smart phone & smart watch

Typically spend 3 hours a day on their devices

Social media preferences – Instagram / Tik Tok

Buying Motivation:

Matt & Lucy will buy Ruff Tucker dog treats for Raven because...

they are sustainable, locally sourced and made, and are a healthy and nutritious treat made from 100% beef.

Marketing Mix

Product

Handmade natural beef jerky dog treats sourced from local Hawkes Bay farms for dog lovers to reward and indulge their pet. The jerky is cut into thin strips and packaged into 150g bags with a shelf life of 6 months.

Packaging is a small bio-degradable brown paper window bag (260 x 88 x 47mm) which is ideal for displaying our product to the customer. The bag comes with a roll-down tin tie top which automatically seals the bag to keep the jerky fresh.

We will add two company labels to the bag:



- round label on the front with our company logo
- square label on the back with:
 - ingredients
 - “proudly sourced & made in Hawkes Bay” message
 - storage recommendations
 - “not fit for human consumption” message
 - company contact details
 - our sustainability story
 - YES logo

The bag has the logo “I am eco” on the side which portrays our eco-friendly image to our customers.



Our unique value proposition (UVP) is our sustainability story. Our beef is sourced from bulls that are unfit for human consumption and would otherwise go to waste. We reduce unnecessary waste in the farming industry by processing this meat into our delicious and 100% natural beef jerky dog treat.

Price

Selling price = \$10 for a 150g bag.

This price aligns with our customer feedback when taking our MVP to market. Dog lovers who care about the nutritional needs of their dog would be prepared to pay \$10 for a premium product like ours.

Pricing Strategies:

Cost plus pricing

We will use **cost plus pricing** to make sure that we are financially viable and able to make a profit when we go to market.

Unit Cost / Variable Cost	
	\$ per unit
Meat	\$0.0000
Meat processing fee	\$1.0700
Packaging	\$0.5808
Labels	\$0.8735
TOTAL	\$2.5243

Variable cost per unit	\$2.52 per unit
Gross profit margin	\$7.48 per unit
Gross profit %	74.8%

Our variable cost per unit is \$2.52. If we sell a pack of dog treats for \$10, we will make a gross profit of \$7.48 for each pack sold, this represents a 74.8% gross profit margin.

Competitive pricing

We will also use **competitive pricing** as our pricing is below that of our closest competitors in the premium dog treat market.

Sourcing our meat for free from local farmers keeps our production costs low and allows us to offer our dog treats at a relatively low price. As we are new to the market with low brand recognition this will help us to attract new customers to buy our product and will attract customers away from more expensive natural dog treats, helping us to gain market share.

Price comparison:



\$10 for 150g



\$10.90 for 90g / \$21.30 for 200g



\$24.99 for a pack of 15 strips



\$2.63 for 1 individual strip

Promotional Strategies

Strategy	Details
Social Media – Instagram	Aim to have 100+ followers on Instagram by end of April and increase this to 400 followers by September. Post on Instagram at least once a week to maintain interest from followers. Have a mix of different posts including stylish and cute photos of dogs with a packet of Ruff Tucker / inspirational quotes relating to pet parenting / facts and figures about dog ownership in NZ / share good news stories about dogs / top tips for being a better dog owner e.g. nutritional advice, training tips / share relevant posts about SPCA as the charity we support / share relevant content during Te wiki o te Reo Māori. Run a giveaway on Instagram in July to gain more interest and sales (see below)
Leverage off other people's social media pages	Get other companies in the dog industry to promote our product for us. Example: The Dog Man is a professional dog trainer in Hawkes Bay, with over 9,000 followers on Facebook. He is well known for his dog training and dog treat reviews. He has agreed to post a photo of one of his dogs enjoying Ruff Tucker with a link to our Instagram and company website. We also plan to approach local Doggy Daycares and Dog Grooming companies to do the same.
Competition & Giveaway	<u>Competition (May)</u> - Guess how many pieces of beef jerky are in the jar Place a large jar of jerky on our market stall table when selling at local Farmers' Markets, winner receives 2 free bags of Ruff Tucker. <u>Giveaway (July)</u> – Win a Flexi Retractable Dog Lead Like and share our giveaway post to be in to win a Flexi Comfort retractable dog lead valued at \$75.00.
Ruff Rewards Loyalty programme	Create Ruff Rewards loyalty cards to encourage repeat customers at local farmers' markets. Customers are given a loyalty card and get their card stamped with a puppy paw print for every bag of beef jerky that they have buy. After buying 5 bags, customers are entitled to a free bag of our dog treats.
Local newspaper	Invite the education correspondent of the local paper Hawkes Bay Today to run an article on Ruff Tucker. Hawkes Bay Today has a readership of 121,000 so this can increase sales by encouraging local people in Hawkes Bay to either visit our stall at the Hastings & Napier Farmers' Markets or buy online by visiting our company website.

Sales Channels

Strategy	Details
Local Farmers' Markets: - Hawkes Bay Farmers' Market (Sunday mornings, Hastings A&P showgrounds) - Napier Urban Farmers' Market (Saturday mornings, Clive Square, Napier)	Sell at each market once a month from April to September. Sell at Hawkes Bay Farmers' Market on the 1st Sunday of the month and sell at Napier Urban Farmers' Market on the 2nd Saturday of the month. Stall to have a rustic eco look to reflect our values, product displayed in and on top of brown wooden beer crates, small metal dog bowl in middle with bite size samples for dogs to try. If allowed by the market, take Aroha's small Shitzu dog to sit on a cushion on our stall to attract customers (particularly children who will be with parents who will then be attracted to buy our product).
Online website www.rufftucker.company.site	Set up a website and online store through Ecwid. Provides us with a reliable E-commerce platform which allows customers from all over NZ to research and purchase our dog treats online. Provides a professional looking website that is easy to set up and manage at no cost (provided free to YES companies)
Local Pet Stores: Pet Stock, Hastings and Happy Animalz Pet Shop, Napier	Establishing contracts with local pet stores will give us the opportunity to reach out to more customers in our target market and do so more efficiently without needing to give up our time to sell at markets every week. We will target small, owner operated pet stores. As our dog treat is a premium product which is sourced and produced locally, we hope they will be interested in stocking our product.
Local Vets: CareVets, Napier and Vet Services, Hastings	These vets have a wide range of premium pet products for sale. Dog owners who buy their dog food at these vets do so to buy premium nutritious dog food which is not stocked by supermarkets. These customers, who care about the nutritional needs of their dogs, are more likely to buy our nutritious 100% beef dog treats if they know they are recommended by vets.
Local Doggy Daycares: Lollipups Doggy Daycare, Napier	Hawkes Bay's 1st city based doggy day care. Pet parents who care enough about the emotional needs of their dog to pay for doggy daycare will also care about their dog's nutritional needs and will be keen to buy a premium, nutritious beef jerky dog treat.

Human Resources

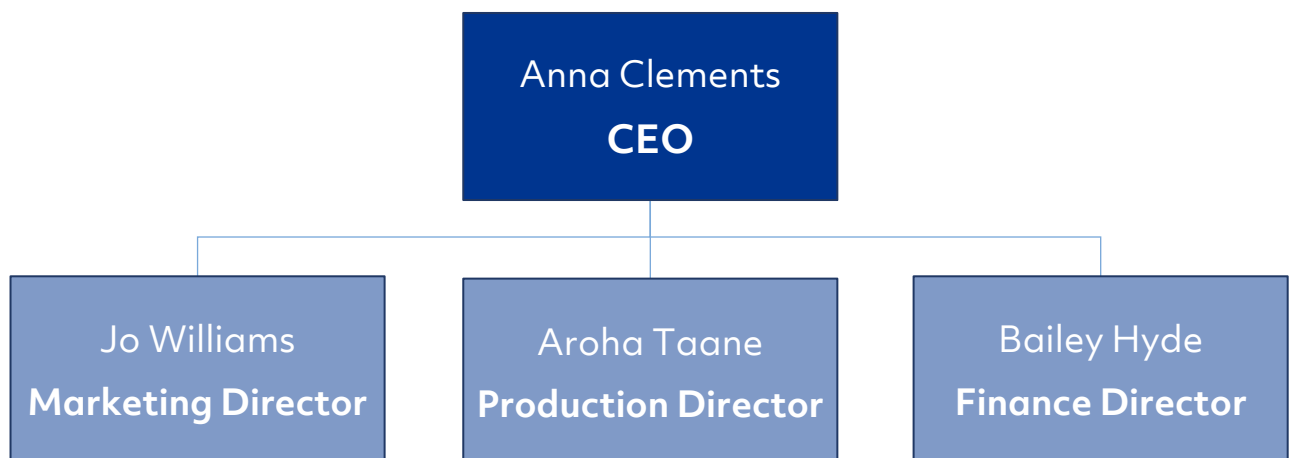
Our team:



From left to right: Aroha, Anna, Jo and Bailey

Based in Hawkes Bay and operating out of Iona College, Havelock North, Ruff Tucker is owned and operated by its four company directors. Together we are a fantastic, passionate team of dog owners wanting only the best for dogs. Our love of dogs, coupled with our farming backgrounds and inside knowledge of the beef farming industry has brought us together to create a premium dog treat made from 100% beef sourced locally from Hawkes Bay farms.

Our People:



Anna Clements

Chief Executive Officer (CEO) | aka Chief

As CEO, Anna:

- leads the company to achieve its vision and goals
- creates team spirit
- motivates and inspires others in the team
- ensures all members are involved and meet set deadlines
- runs company meetings



Anna is a positive, confident and dedicated leader and is currently a House Leader at Iona College. She can motivate and guide group members. She is very understanding and is keen to listen and help others when faced with a problem. She is respected by other team members.

Bailey Hyde

Chief Financial Officer (CFO) | aka Number Ninja

As CFO, Bailey:

- Prepares a cost breakdown
- Prepares financial forecasts
- Checks the financial viability of our product
- Records all sales and purchases
- Prepares financial reports



Bailey is diligent, organised and trustworthy. She has strong mathematical and accounting skills having studied both NCEA Level 1 Commerce and Level 2 Accounting. Both of her parents are accountants and can advise her throughout the year.

Jo Williams

Comms & Marketing Director | aka Chief Storyteller

As Comms & Marketing Director, Jo:

- Builds a strong brand identity
- Communicates your brand story
- Makes your customers excited to buy your product
- Develops promotional materials
- Creates social media content



Jo is out-going, confident and always willing to step outside of her comfort zone making her an ideal Comms & Marketing Director. She is motivated to succeed, has great communication skills and is a whizz with social media content so will be able to help market and sell our product with ease.

Aroha Taane

Production Director | aka Product Wizard

As Production Director, Aroha:

- Designs the product
- Creates and tests prototypes
- Organises resources and suppliers
- Checks product quality
- Leads the production team



Aroha is a very practical and 'hands on' person. She likes to be actively involved with the product, which makes her ideal for this role. She is creative and artistic and is always giving suggestions when it comes to the design of our product and packaging.

Production

Resources and Suppliers

Beef

Our beef will be supplied from three **local Hawkes Bay farms** which we have family connections to: Waipukarau Station, Te Mata Station and Ruahine Farm, Dannevirke.

Our farms have been selected because they value sustainability, are implementing sustainable farming practices and they can guarantee that their bulls have been reared in a healthy, safe and ethical manner.

Meat Processing



Our meat will be processed locally at **Medallion Petfoods**, Waipukarau, one of New Zealand's oldest pet food businesses in New Zealand, having served the NZ farming community for 50 years.

Packaging



We will purchase 500 brown paper bags from **Sailcity Packaging**, Auckland, a quality packaging company which specialises in eco-friendly packaging solutions.

They are able to supply brown paper tin tie down bags with a window at the front to display our jerky. The tin tie function automatically seals the bag for freshness and allows the bag to be easily resealed by the customer.

These bags are 100% bio-degradable and can be composted after use.

Labels

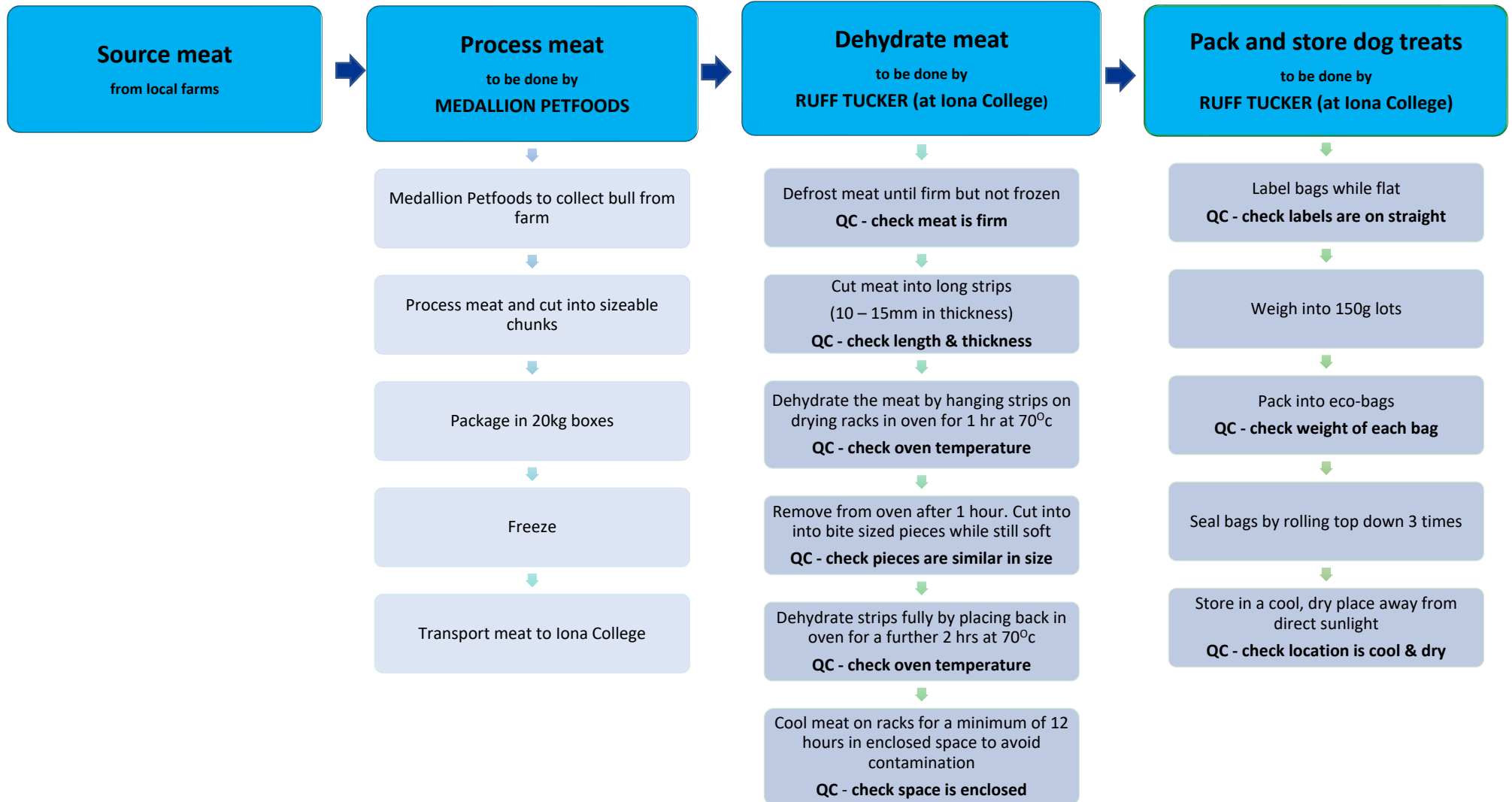


Our labels will be printed **mr Labels**, Hastings, a small, local and family-owned business that has been serving the Hawkes Bay business community for nearly 50 years and specialises in small print runs.

They are able to print high quality easy-stick black and white labels for the front and back of our bags.

Production Process

QC = Quality Control checkpoint. Production Director to be present to check that this stage has been completed to the required quality standard.



Health & Safety

Ruff Tucker Health & Safety Policy

Hygiene & Cleaning requirements:

All benches, chopping boards and equipment are to be sterilised thoroughly before and after use.

Equipment:

Chopping boards must be placed on the bench on top of a tea towel to prevent slipping.

Clothing requirements:

- Team members to wear sensible clothes and covered footwear.
- Team members to tie up long hair in a bun and wear a hair net.
- Each person must wear latex gloves.
- When handling frozen meat each person must wear two layers of gloves to keep hands warm.
- When cutting meat each person must wear stainless steel mesh gloves.

Dehydrating meat:

Meat must be dried at an oven temperature of 70°C and oven temperature to be checked with a thermometer before meat is put in the oven. (62.7778°C is the approved safe temperature to kill all bacteria).

Oven gloves to be worn at all times when checking on and removing meat from the oven.

First Aid:

There must always be a first aid kit on hand in the kitchen.

At least 50% of team members are to have completed a St John's First Aid training course before batch 1 of production.

Any injuries or accidents are to be logged in Iona College's Food Technology Kitchen Accident Book and reported to the School Business Manager.

Emergency Procedures:

Production Director to brief team members on emergency and evacuation procedures including location and use of the fire exits, fire extinguishers and fire blankets.

Training:

All team members are to undergo staff training by the end of March. Staff training must cover: Knife Safety, Food Handling, Health & Safety and First Aid. See separate Staff Training Guidelines.

On the day of production, team members will be prepped by Production Director before the production process begins to remind them of these Health & Safety requirements.

Staff Training Guidelines

Prior to producing our 1st batch of jerky company directors must undergo the following training:

Knife Safety Training

All team members to be trained by Anna's Dad on how to use sharp butcher's knives to cut meat. Training will focus on:

1. the need to wear metal butchers' gloves to prevent injury
2. how to use butcher's knives safely to prevent injury
3. how to cut meat efficiently to maximise productivity.

Food Handling Training

All team members to be trained by Mrs Harris (Food Tech teacher) on:

1. how to use the equipment and oven in the Food Tech Room
2. how to keep the working area safe and non-hazardous
3. how to handle meat hygienically to avoid contamination.

First Aid Training

Two team members are to complete a St John's First Aid training course by 1 April 2025.

These team members are to familiarise themselves with Iona College's First Aid equipment and how to deal with and report accidents and injuries in compliance with Iona College's Health & Safety Plan.

Health & Safety Training

All team members are to undergo Health & Safety training by the Production Director to ensure that they fully understand and are willing to comply with Ruff Tucker's Health & safety policy.

Compliance with NZ regulations

MPI Regulations

We have discussed our production process with MPI officials to ensure that it meets the requirements of both the Animal Products Act 1999 and the Animal Welfare Act 1999. This legislation governs how animals are humanely put to sleep and how animal products are to be processed for petfood.

Product Labelling

Product label must clearly state:

"This product is recommended for consumption by dogs only, it is not fit for human consumption."

Ruff Tucker Timeline

Month	Activity
Feb	- Confirm product idea and company name - Design company logo to fit our product concept
March	- Set up Instagram account - Set up website and online store - Source and purchase packaging & round labels - Raise start-up capital (shares & fundraising) and open company bank account - Staff training – food handling, knife safety and First Aid
April	- Plan stall layout – source resources for stall - Staff training – Health & Safety - Make Batch #1 of dog treats at Iona College - Product Launch – take MVP to Hawkes Bay Farmers' Market on 5 April - Analyse interviews with customers & tweak product in line with interview analysis - Purchase square labels for back of packaging - Make Ruff Rewards loyalty cards
May	- Sell at Hawkes Bay Farmers' Market on 6 May - Sell at Napier Urban Farmers' Market on 12 May - Run Competition #1 at markets – Guess how many pieces of jerky are in the jar - Contact local owner-operated pet shops, vets & doggy daycare to stock our product
June	- Source meat for Batch #2 - Make Batch #2 of dog treats at Iona College - Deliver stock to pet shops, vets & doggy daycare - Have article in local newspaper - Sell at Hawkes Bay Farmers' Market on 3 June - Sell at Napier Urban Farmers' Market on 9 June
July	- Sell at Hawkes Bay Farmers' Market on 1 July - Sell at Napier Urban Farmers' Market on 7 July - Run Giveaway on Instagram
Aug	- Source meat for Batch #3 - Make Batch #3 of dog treats at Iona College - Deliver stock to pet shops, vets & doggy daycare - Sell at Hawkes Bay Farmers' Market on 5 Aug - Sell at Napier Urban Farmers' Market on 11 Aug
Sept	- Sell at Hawkes Bay Farmers' Market on 2 Sept - Sell at Napier Urban Farmers' Market on 8 Sept - Run activities to celebrate Te Wiki o te Reo Māori
Oct	- Give 5% donation to SPCA - Decide whether to close company or continue selling beyond YES & NCEA

Finance

Sources of Finance

We have calculated that we will need **\$377.20** start-up capital of to set up our business and launch our product on 5 April 2025.

Cost	Amount	Notes
Packaging	\$232.30	for 500 bags, bags need to be bought in bulk
Labels	\$119.90	for 500 labels, labels need to be bought in bulk
Market stall fee	\$25	to sell at Hawke's Bay Farmers Market on 5 April
Total	\$377.20	

Start-up capital of **\$386** was raised through own contributions (shares) and fundraising:

Share Capital (own contributions) = \$200

Director	Amount
Grace Clements	\$50
Aroha Taane	\$50
Jo Williams	\$50
Bailey Hyde	\$50

Fundraising = \$186

Activity	Amount
Fundraiser - Car wash	\$150
Sale of brownies at car wash	\$36

Financial forecasts

Break Even Analysis

Break Even Point =

$$\frac{\text{Fixed Cost}}{\text{Selling price} - \text{variable costs}}$$

Selling price

\$10.00

Fixed Costs

Market Stall Fees	\$275.00
Market stall materials	\$25.00
Free samples for markets	\$30.00
Free packs for loyalty scheme	\$40.00
Competition & giveaway prizes	\$95.00
Total Fixed Costs	\$465.00

Variable Costs (per pack of 5 brownies)

Meat	\$0.00
Meat processing fee	\$1.07
Packaging	\$0.58
Labels	\$0.87

Total Variable costs per unit

\$2.52

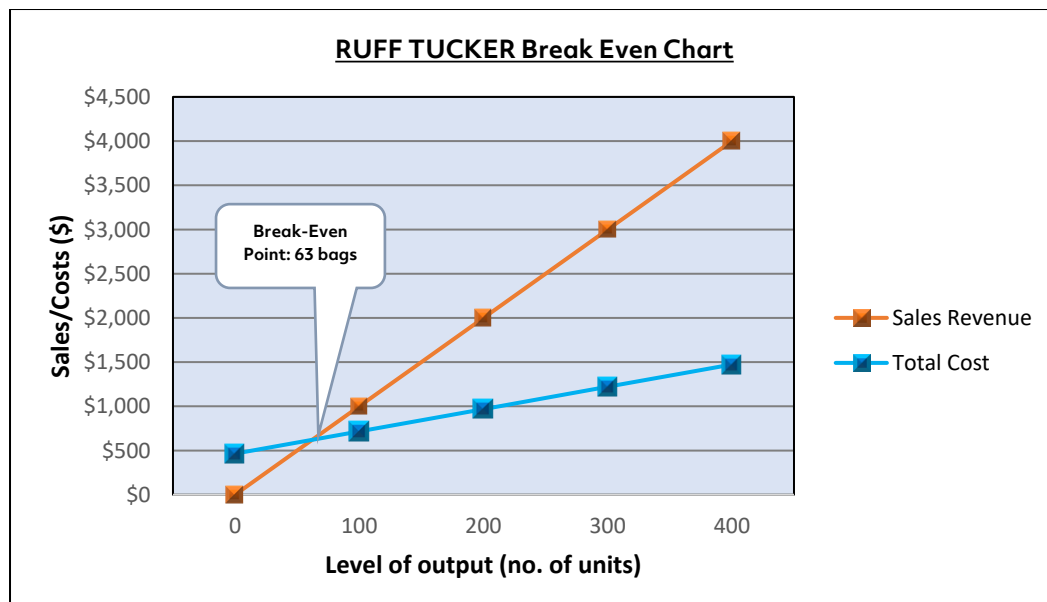
BREAK EVEN POINT

$$\frac{\$465.00}{\$7.48}$$

BREAK EVEN POINT

62.2

We will need to sell **63 bags of dog treats** before we start to make a profit.



Ruff Tucker

FORECAST INCOME STATEMENT (for sale of 400 bags of dog treats)

	March	April	May	June	July	August	September	Total
Revenue								
Sales		\$500.00	\$600.00	\$600.00	\$750.00	\$800.00	\$750.00	\$4,000.00
Less: Cost of Goods Sold		\$480.60	\$229.50	\$149.80		\$149.80		\$1,009.70
Gross Profit	\$0.00	\$19.40	\$370.50	\$450.20	\$750.00	\$650.20	\$750.00	\$2,990.30
plus: other revenue								
Fundraising	\$186.00							\$186.00
								\$0.00
Gross Profit plus other revenue	\$186.00	\$19.40	\$370.50	\$450.20	\$750.00	\$650.20	\$750.00	\$3,176.30
Less: Expenses								
Market stall fees		\$25.00	\$50.00	\$50.00	\$50.00	\$50.00	\$50.00	\$275.00
Market stall materials			\$25.00					\$25.00
Free samples		\$5.00	\$5.00	\$5.00	\$5.00	\$5.00	\$5.00	\$30.00
Free packs for loyalty scheme						\$10.00	\$30.00	\$40.00
Competition / Giveaway prizes			\$20.00		\$75.00			\$95.00
								\$0.00
Total Expenses	\$0.00	\$30.00	\$100.00	\$55.00	\$130.00	\$65.00	\$85.00	\$465.00
Net Profit before tax	\$186.00	-\$10.60	\$270.50	\$395.20	\$620.00	\$585.20	\$665.00	\$2,711.30
less: donation to SPCA Hastings (10%)								\$271.13
Net profit after donation								\$2,440.17
less: taxation (25%)								\$610.04
Net profit after tax								\$1,830.13

Gross Profit %

74.8%

Net Profit %

67.8%

Ruff Tucker

CASH FLOW FORECAST (for sale of 400 bags of dog treats)

	March	April	May	June	July	August	September	Total
<u>Cash Receipts</u>								
Sale of dog treats		\$500.00	\$600.00	\$600.00	\$750.00	\$800.00	\$750.00	\$4,000.00
Sale of shares	\$200.00							\$200.00
Fundraising	\$186.00							\$186.00
								\$0.00
Total Receipts	\$386.00	\$500.00	\$600.00	\$600.00	\$750.00	\$800.00	\$750.00	\$4,386.00
<u>Cash Payments</u>								
Meat processing fee		\$128.40		\$149.80		\$149.80		\$428.00
Packaging		\$232.30						\$232.30
Labels		\$119.90	\$229.50					\$349.40
Market stall fees		\$25.00	\$50.00	\$50.00	\$50.00	\$50.00	\$50.00	\$275.00
Market stall materials			\$25.00					\$25.00
Free samples		\$5.00	\$5.00	\$5.00	\$5.00	\$5.00	\$5.00	\$30.00
Free packs for loyalty scheme						\$10.00	\$30.00	\$40.00
Competition / Giveaway prizes			\$20.00		\$75.00			\$95.00
								\$0.00
Total Payments	\$0.00	\$510.60	\$329.50	\$204.80	\$130.00	\$214.80	\$85.00	\$1,474.70
Surplus of Cash	\$386.00	-\$10.60	\$270.50	\$395.20	\$620.00	\$585.20	\$665.00	\$1,474.70
<i>plus:</i> Opening Bank Balance	\$0.00	\$386.00	\$375.40	\$645.90	\$1,041.10	\$1,661.10	\$2,246.30	\$0.00
Closing Bank Balance	\$386.00	\$375.40	\$645.90	\$1,041.10	\$1,661.10	\$2,246.30	\$2,911.30	\$2,911.30

Evidence of ongoing consultation with specialist advisors

1. Business mentor - Sophie Hay

(photo of group meeting with Sophie)

Advice given: Our mentor, Sophie Hay, gave advice throughout the year. In particular, advice around marketing and sales. For example, she suggested we sell at places other than the local farmers market to gain more customers and to reduce our time commitment at weekends. She helped us to identify places in the Hawkes Bay community that our ideal customer would visit that we could approach to sell our product for us. This included local doggy daycares, cafes, puppy training groups, vets, dog trials, dog shows and gourmet food shops.

Extent to which we followed this advice: We took on board most of her advice including selling at doggy daycares, vets and local pet stores. We did not get in contact with dog shows, dog trials or gourmet food shops as we had limited time and sales were going well through other channels.

2. Local vet – Paul Englewood, Vet Services Hastings Clinic

Paul is a well-known certified Vet who works at Vet Services in Hastings.

(photo of group meeting with Paul)

Advice given: Paul guided us through the MPI regulations about preparing dog food. He also visited the farm with us to certify the bull that we planned to use for our jerky is fit for dog consumption. He also advised us on the best size and shelf life for our dog treats.

Extent to which we followed this advice: we used all of this advice which helped us to comply with important MPI regulations when producing and labelling our product.

3. Production Process advisor 1 – Brian Sherwood, Medallion Petfoods

Brian is an experienced worker at Medallion Petfoods, a trusted meat works serving the Hawkes Bay farming industry.

(photo of group meeting with Brian)

Advice given: Brian gave valuable advice to help us understand the start of the production process which involves putting the animal to sleep and processing the meat.

Extent to which we followed this advice: this advice was followed and helped our production process.

4. Production Process advisor 2 – Mrs Harris, Food Tech Teacher, Iona College

Mrs Harris has been teaching Food Technology for over 20 years.

(photo of group meeting with Mrs Harris)

Advice given: Mrs Harris has helped us to understand the second part of the production process which involves drying the meat in the oven and packaging it. She was able to be there when we made our 1st batch of jerky to help and advise us and to ensure our production process met industry standards including Food Handling requirements.

Extent to which we followed this advice: We followed all of Mrs Harris's advice when producing our jerky.

This resource has been written by:

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